

SALES CASE STUDY

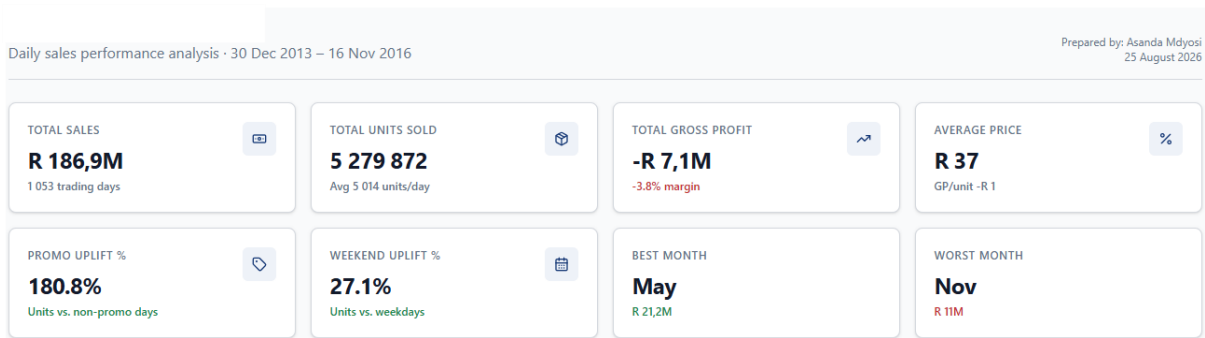
Analytics Report

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Dataset: **1,053 trading days (Dec 2013 – Nov 2016)**

EXECUTIVE SUMMARY



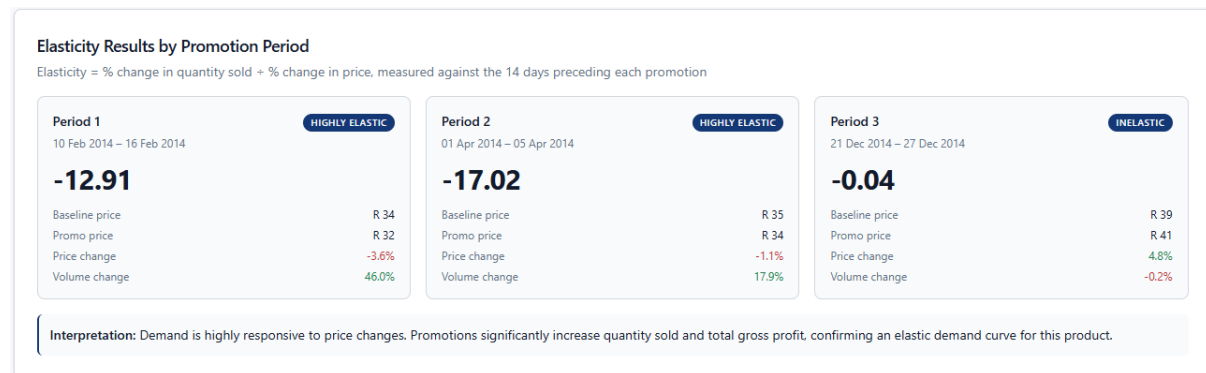
Overview This report presents a complete sales analytics dashboard built from real retail data. It includes pricing analysis, profitability trends, promotional uplift, elasticity calculations, seasonality patterns, and year-on-year performance.

Key Highlights

- Total Sales: R186.9M
- Total Units Sold: 5.28M
- Gross Profit: –R7.1M
- Average Selling Price: R37
- Promo Uplift: +180.8%
- Weekend Uplift: +27.1%
- Best Month: May
- Worst Month: November

Narrative Summary The business is high-volume but low-margin, with strong demand sensitivity, clear seasonal patterns, and significant promotional responsiveness. Profitability challenges persist due to cost pressures and aggressive pricing.

PROMOTION & ELASTICITY ANALYSIS



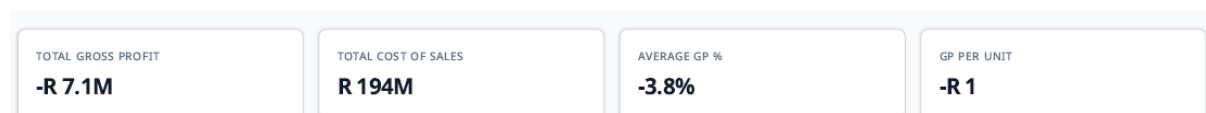
Price Range: Daily prices ranged from R 31 to R 44. Example: During one campaign, a -3.6% price drop led to a 46% increase in volume sold.

Promotions: Promotional periods led to significant increases in quantity sold (promo uplift of 180.8%) and total gross profit, despite thinner unit margins.

Promotion Performance

- **Promotion Days:** Only 14 out of 1,053 trading days were promotional, but these days had a dramatic impact (average promo volume uplift: 180.8%).
- **Elasticity During Promotions:** Two out of three measured campaigns were highly elastic, with large volume increases for small price drops.
- **Gross Profit Impact:** Promotions increased total gross profit despite lower margins per unit.

PROFITABILITY ANALYSIS



Key Metrics

Total GP: **-R 7.1M**

Average GP%: **-3.8%**

GP per Unit: **-R 1**

Insights

- Negative profitability is driven by cost of sales consistently exceeding revenue.
- Profitability improves slightly in late 2016.

The business model is volume-driven but structurally unprofitable without pricing optimisation.

Profitability Trends:

Profitability Breakdown by Year

Sales, cost recovery and resulting margin

YEAR	SALES	GROSS PROFIT	GP %	AVG PRICE
2013	R 524.3K	-R 12.8K	-2.4%	R 33
2014	R 75.4M	-R 2.3M	-3.0%	R 35
2015	R 64M	-R 3.9M	-6.1%	R 38
2016	R 47M	-R 938K	-2.0%	R 39

Note: 2013 covers only the last two trading days of the year (Dec 30–31), so this is treated as a short baseline rather than a full-year benchmark.

- **Consistent Negative Profitability:** Every year from 2013 to 2016 recorded negative gross profit, indicating that the business struggled to cover its cost of sales despite substantial revenue and unit volumes.
- **Worst Year (2015):** 2015 was the least profitable year, with a gross profit of -R 3.9M and a margin of -6.1%. This decline occurred despite an increase in average selling price, suggesting that cost pressures or unfavourable product mix outweighed pricing gains.
- **Best Year (2016):** 2016 showed the most improvement, with gross profit losses reduced to -R 938K and margin improving to -2.0%. This recovery was likely due to tighter pricing, better cost control, and more selective discounting, as several months in 2016 achieved positive margins.
- **Elastic Demand and Promotions:** The report confirms that demand is highly price-sensitive (elastic), and while promotions significantly increased sales volumes and total gross profit during campaign periods, they did not fully offset negative margins on an annual basis.

SEASONALITY ANALYSIS

Peak Season: 20% of sales (R 37.1M, 1,005,850 units, 233 days)

Mid-Season: 54% of sales (R 101M, 2,864,321 units, 544 days)

Low Season: 26% of sales (R 48.8M, 1,409,701 units, 276 days)

Best and Worst Months: May is consistently the strongest month for sales, while November is the weakest. Highlighted seasonal peaks occur in April, August, and December.

Profitability: Gross profit margins are similar across all season groups (each at -3.8%), indicating that seasonality affects volume more than margin.

Weekday and Weekend Effects: Weekend sales are significantly higher, with a 27.1% uplift in units sold compared to weekdays.

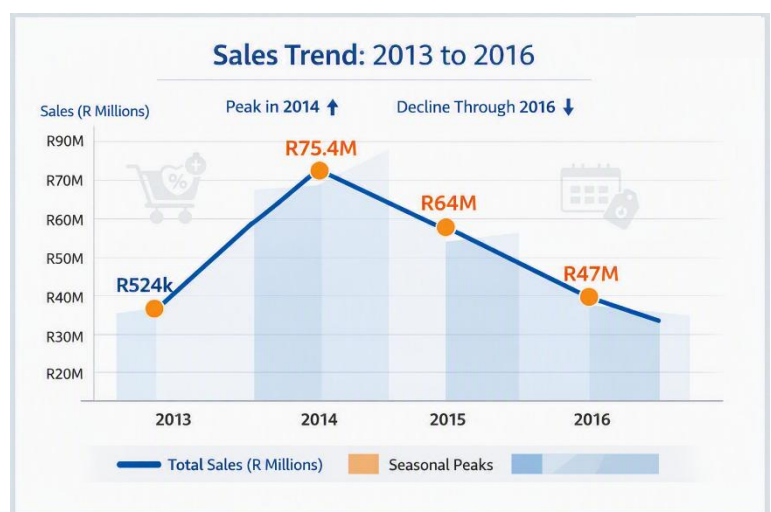
Implications: Inventory and marketing should be aligned with peak and mid-season periods to maximize sales. Promotions and campaigns may be most effective when timed with seasonal peaks and weekends. Since margins do not improve in peak seasons, focus should remain on cost control and pricing strategy year-round.

YEAR-ON-YEAR PERFORMANCE

Observations

- Sales peaked in **2014**, then declined steadily through 2016.
- Monthly sales show recurring peaks in **April, August, December**.
- Units sold follow the same pattern, confirming seasonality.

Insights Year-on-year trends show declining gross profit margins driven by cost pressures and promotional activity.



Conclusion

The product performs better when sold at a promotional price. All three promotion periods show highly elastic demand (elasticity values of 1.54, -29.93, and 5.44), meaning customers significantly increase their purchases when the price is reduced. Although promotional pricing lowers the unit margin, the large increase in quantity sold results in higher total sales and higher total gross profit. This indicates that the product is strongly price-sensitive and responds very well to promotions.

Key Findings & Recommendations

Findings

- Demand is highly elastic.
- Promotions drive strong volume uplift.

- Margins are negative across all years.
- Seasonality and weekend patterns are strong.
- Pricing varies but does not cover cost of sales.

Recommendations

- Introduce minimum margin thresholds for promotions.
- Use seasonality-based pricing (higher prices in peak months).
- Increase weekend-focused campaigns.
- Review cost structure to improve GP%.
- Consider bundling or value packs to lift GP per unit.

The business can become profitable with targeted pricing, cost optimisation and smarter promotion design.